NORTHSTAR FITNESS

UK Gym Pricing & Revenue Optimisation

Identifying Site-Level Pricing Headroom Across an 80-Gym Estate

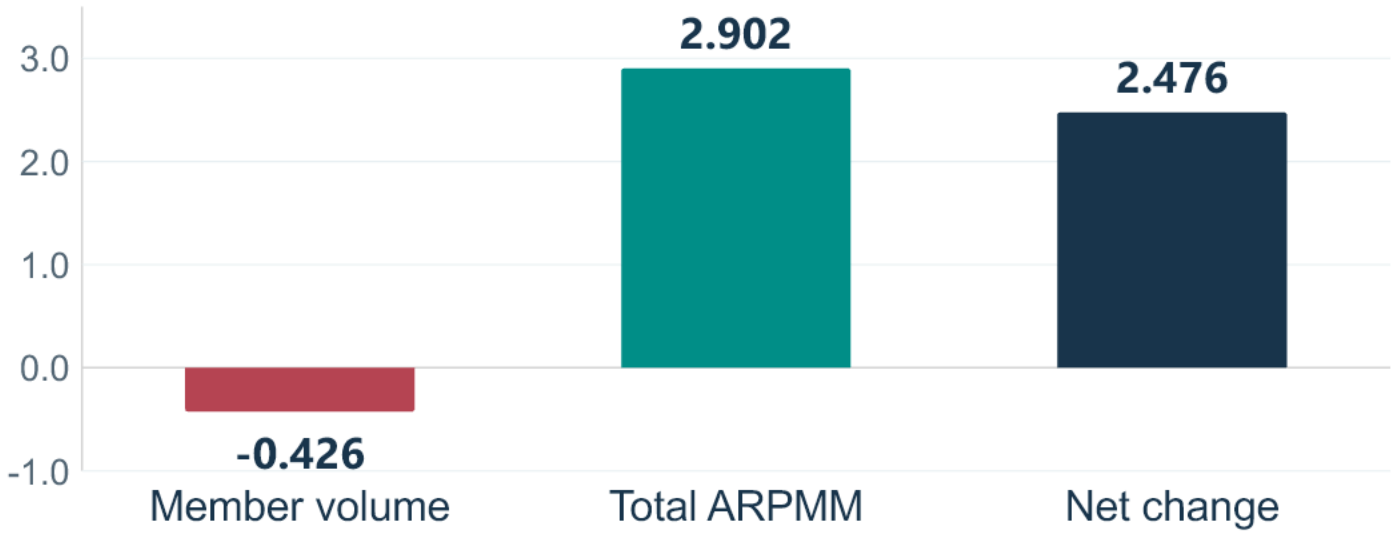
A controlled £1 pilot precedes wider price increases

£149k modelled annual uplift across 11 conditional raises

Hypothetical 2026 assessment. Controlled testing remains a condition of implementation.

2025 revenue grew 2.37% as members fell 0.67%

Change in annual net revenue, £m



£107.01m
2025 earned net revenue

396,311
December closing members

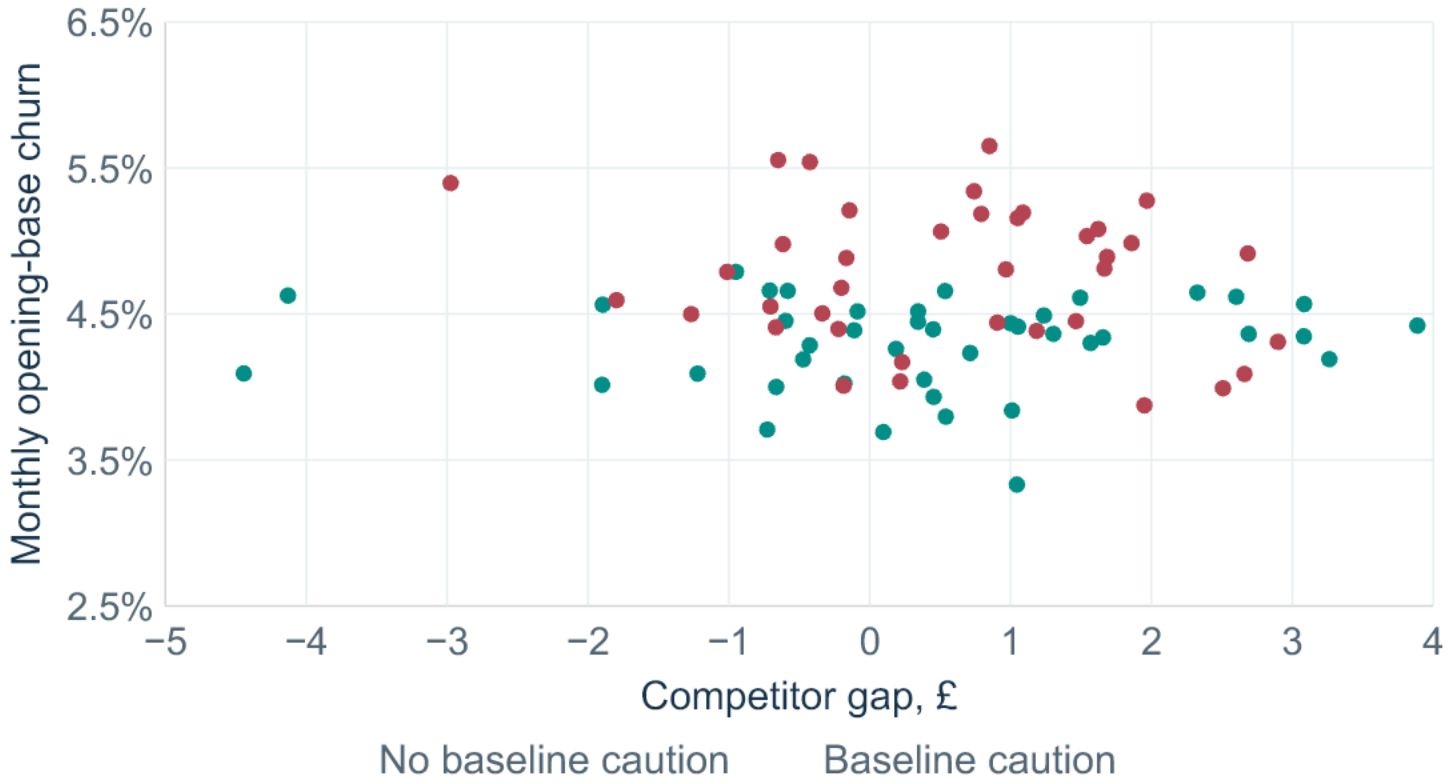
£21.97
Total ARPMM, +2.79%

221,277
Annual joins, −0.13%

Q4 recruitment weakened further: acquisitions fell 1.32% while revenue rose 2.05%.

2025 versus matching 2024 months. Revenue excludes assumed 20% VAT. Bridge interaction belongs to total ARPMM.

31 gyms have no current recurring-price advantage



31

Sites with gap ≤ £0

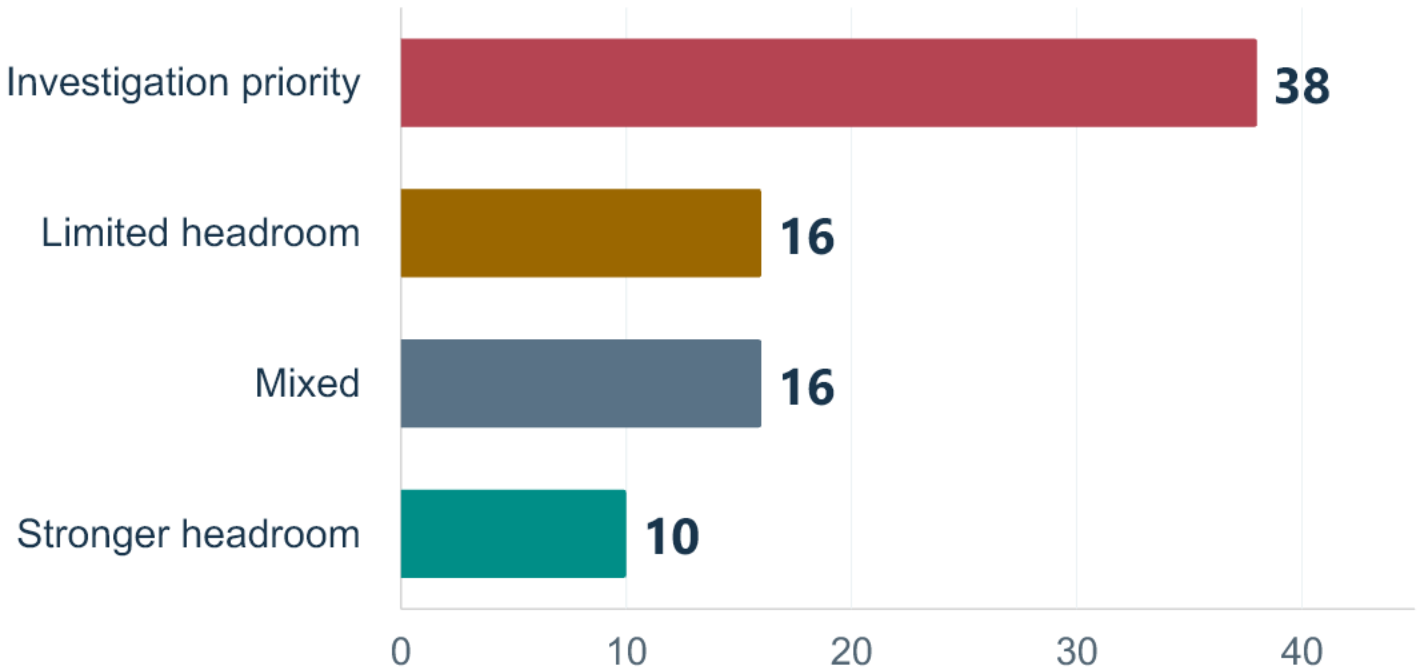
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Sites with baseline caution

Median Standard price
£25.99

Competitor recurring prices include VAT. December 2025 snapshot. Churn uses full-year 2025 opening exposure.

High scores still require behavioural evidence



15

High scores across the estate

5

High-score sites retain cautions

51 of 80 sites are sensitive to score specification

Headroom scores preserve Phase 4 ranks. Cautions remain separate from the 0–100 relative score.

The historical £2 pilot gained revenue and lost joins

Historical response	Point estimate	95% whole-pair interval
Standard acquisition	-8.27%	-13.90% to -2.89%
Incumbent monthly churn	+0.345 pp	0.182 to 0.497 pp
Incumbent monthly downgrades	+0.324 pp	0.294 to 0.356 pp
Estimated six-month net revenue	£217k	£151k to £289k

Standard acquisition elasticity: -1.12

The evidence covers one £2 policy in positive-gap markets. Repeat repricing and precise site responses remain uncertain.

12 randomised pairs. Baseline Oct 2024–Mar 2025 versus Apr–Sep 2025. Monthly incumbent effects use percentage points.

Estate-wide increases trade yield for fewer members

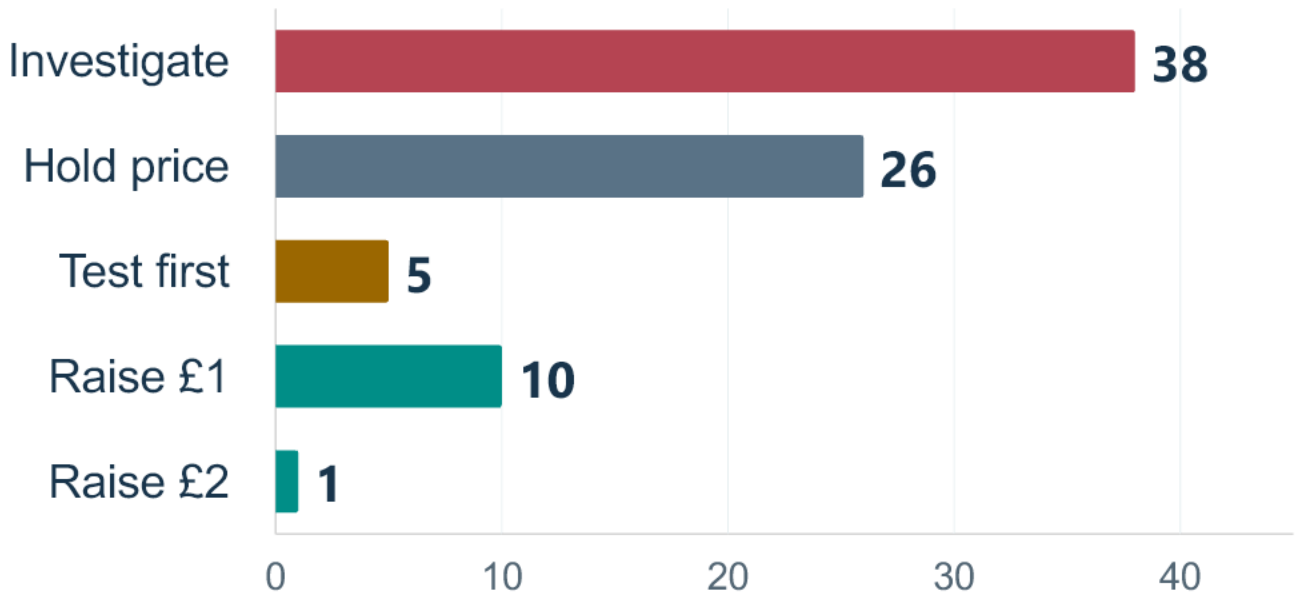
Standard increase	12-month net uplift	95% parameter range	December member impact	December expected members
No increase	£0.00m	£0.00m to £0.00m	0.00%	395,423
+£1	£1.06m	£0.44m to £1.66m	-2.04%	387,365
+£2	£2.08m	£0.88m to £3.28m	-3.92%	379,920
+£3	£3.08m	£1.33m to £4.86m	-5.67%	373,020

Higher modelled revenue accompanies fewer December members at every increase.

+£3 is an analytical comparison. Standard reaches the unchanged Plus price at 20 gyms.

Jan–Dec 2026 Base scenarios across all 80 gyms. Same counterfactual. Ranges reflect conditional parameter uncertainty.

Only 11 gyms qualify for conditional raises



Qualification tests downside revenue, member loss, lower-bound revenue and behavioural sensitivities.

Raise	Conditional sites
£1	NF023 Portsmouth NF030 Bath
£1	NF032 Plymouth NF037 Chester
£1	NF040 Liverpool NF050 Leeds
£1	NF066 Edinburgh NF070 Edinburgh
£1	NF073 Cardiff NF074 Swansea
£2	NF049 Hull

Saved Phase 7 actions. Every increase remains conditional on controlled testing. TEST FIRST gains stay outside the raise portfolio.

The £149k portfolio depends on management policy

Policy assumption	Raise sites	Annual net uplift	December member impact
Agreed policy: 5% member gate	11	£149k	-0.31%
3% downside member gate	6	£77k	-0.14%
7% downside member gate	11	£172k	-0.36%
£1 post-increase competitor buffer	4	£47k	-0.10%
Repeat repricing permitted with warning	16	£256k	-0.49%

Base portfolio: 1,209 fewer December members (-0.31%)

95% parameter range £64k to £231k. Downside £94k. Upside £203k.

Jan–Dec 2026 conditional RAISE portfolios. TEST FIRST excluded. Ranges exclude future shocks and transport uncertainty.

The simulated £1 pilot is inconclusive at six months

5 primary pairs. 2 exploratory repeat pairs. 2 unmatched reserves.

EXTEND TEST

+1.02% revenue

95% interval -0.96% to 3.03%
One-sided p = 0.1875

Controlled harm	95% upper	Limit	Gate
Closing-member loss	3.81%	3.00%	**Fail**
Standard acquisition loss	11.15%	10.00%	**Fail**
Monthly churn, pp	+0.530	+0.250	**Fail**
Monthly downgrades, pp	+0.214	+0.250	**Pass**

Twelve months: STOP. The churn lower harm bound exceeds the tolerance.

Planning power at a 2% effect: 64.7%. Detectable effect at 80% power: 2.74%.

Illustrative simulation. Primary comparison: Jul–Dec 2025 versus Jan–Jun 2026. These results do not add independent evidence.

New evidence is needed before broader repricing

A real £1 pilot needs fresh eligibility and prospective assignment

Comparable first-repricing sites form the primary population. Repeat repricing remains exploratory.

Safety reviews precede the six-month commercial assessment

Approximately 30 and 90 days, then six months and twelve months. Study controls remain unchanged.

Rollout depends on financial and member confidence bounds

Positive revenue lower bound, one-sided $p \leq 5\%$, and every harm upper bound within its tolerance.

Finance and Operations must assess the remaining business risks

Contribution costs, competitor response, complaints and sustained service pressure need review.

This project uses synthetic data and is inspired by the commercial economics of UK subscription fitness businesses.

This project uses synthetic data created for portfolio purposes. It is inspired by the economics of multi-site subscription fitness businesses and does not use confidential information from The Gym Group or any other operator.

Hypothetical management proposal. Revenue improvement does not establish profit improvement.